Two-Week Trading Challenge Report

Strategy, Economic Rationale, Risk Management and Performance Analysis

Markets Traded: Equity Index Futures, Precious Metals, FX
Time Horizon: Intraday and Short-Term Swing

INITIAL CAPITAL	FINAL EQUITY	RETURN	MAX DRAWDOWN
100,000	113,396.63	13.40%	27.10%
Account start	Account end	Two-week	Peak-to-trough

Group 6 Section A
Authors: Brian Pina, Ines Correira , Mia Becker, Gavin Campbell, Manon Weyland, Antonio Belles
Course: Derivatives
Instructor: Carlo Sala
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This report presents the trading strategy implemented during a two-week challenge, the economic reasoning behind it, the applied risk management framework, and the resulting wealth development.

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1 Trading Strategy

1.1 Overview

During the two-week challenge, trading activity concentrated mainly on E-mini S&P 500 (ES), Micro E-mini S&P 500 (MES), E-mini Nasdaq-100 (NQ), Micro E-mini Nasdaq-100 (MNQ), together with silver and gold futures. These instruments were selected for their liquidity, participation, and structural clarity. In practice, most executions occurred within these markets.

Most positions were intraday. The focus was placed on the New York morning session, approximately 15:30 to 18:00 Barcelona time, when volume expands and directional intent becomes clearer. This window consistently provided stronger structure and more reliable momentum.

A smaller number of swing trades were taken in silver and foreign exchange pairs such as USD/EUR and USD/JPY, typically lasting two to three days. However, the core approach remained short-term and session-focused.

The strategy adapted to context. In range conditions, the objective shifted toward mean reversion at structural extremes. In trending environments, the focus moved toward continuation after pullbacks. Decisions were always based on price behavior rather than prediction.

1.2 Economics of the Trading Strategy

Intraday markets move through the interaction of buyers and sellers. Liquidity, positioning, stop placement, and trader psychology all influence price development throughout the session.

In range markets, price rotates between support and resistance as bulls defend lows and bears lean on highs. Breakouts frequently fail when late participants enter without sufficient follow-through. When those breakouts collapse, trapped traders are forced to exit, often accelerating the reversal.

The EMA acted as the primary structural guide. A flat EMA reinforced balance and range logic. A clearly sloped EMA with separation from price suggested directional pressure and continuation potential.

Trending markets reflect sustained participation, often from larger players building positions gradually. Pullbacks occur as short-term traders take profits. If structure remains intact, continuation becomes statistically more likely.

The objective was to react to structural and behavioral patterns rather than attempt prediction.

1.3 Beliefs of the Trading Strategy

Trading was approached as a probabilistic process in which edge materializes through repetition, not through isolated outcomes. A single trade carries little informational value. What matters is the aggregate behavior of a large sample. For that reason, each position was treated as one observation within a broader distribution rather than as an event that needed to be “right.” This framing reduced emotional attachment to outcomes and reinforced consistency in execution.

The decision to operate from a probabilistic mindset also shaped how risk was perceived. Instead of attempting to maximize profit on every opportunity, the primary objective became protecting the distribution itself. A strategy only expresses its statistical edge if it survives long enough

to do so. Large losses distort that distribution and can invalidate otherwise sound expectancy. Therefore, controlling downside variance was considered structurally more important than aggressively pursuing upside.

Activity was not confused with opportunity. Patience was treated as an active decision. Most market movement does not provide structural alignment, and participation without defined edge introduces unnecessary noise into performance metrics. By accepting that "no trade" is often the correct trade, variance was reduced and capital was preserved for moments when conditions were favorable.

Simplicity supported execution. The EMA was used as a structural reference rather than layering multiple indicators that could create analytical friction. The objective was clarity and repeatability, not over-confirmation. Fewer tools reduced hesitation, limited discretionary overrides, and improved rule adherence under pressure.

Market behavior was interpreted through crowd dynamics. Liquidity grabs, failed breakouts, and emotional chasing frequently occur when positioning becomes clustered and reactive. These moments tend to offer asymmetric opportunities because they reveal imbalance. The strategy aimed to engage when such positioning inefficiencies became visible, rather than reacting mechanically to price movement alone.

Leverage amplifies both opportunity and error. While small wins and small losses are inevitable components of trading, large losses are structurally damaging. The objective was therefore not to eliminate losses, but to eliminate outsized losses. Preserving capital ensures that statistical edge has time to materialize and compound.

2 Risk Management Strategy

Risk management functioned as the structural backbone of execution. Position sizing was defined as a fixed percentage of a 100k account, maintaining consistent exposure across different market conditions. This ensured that performance variability reflected trade quality rather than fluctuating sizing decisions.

Each trade was structured in R multiples, generally targeting at least a 2:1 reward-to-risk ratio to maintain positive expectancy over a sufficiently large sample. However, the emphasis was not on maximizing R in isolation. The emphasis was on protecting the left tail of the distribution. A strategy can survive multiple small losses; it cannot survive repeated large ones.

Early in the challenge, the importance of a hard stop loss became evident after experiencing a significant drawdown. Stops were placed at structural invalidation points, typically beyond key highs or lows where the trade thesis objectively failed. Risk was accepted only when clearly defined before entry. This shifted execution from hope-based management to rule-based management.

The focus on short losses rather than constant profit expansion was intentional. In leveraged environments, aggressive profit seeking often leads to oversizing, premature entries, or relaxed invalidation criteria. By contrast, prioritizing tight and consistent risk control stabilizes the equity curve and reduces psychological pressure. A stable equity curve allows rational decision-making; volatility in account performance often leads to emotional interference.

There was no belief in a "holy grail" setup. Trading was treated as a statistical process requiring

discipline, emotional control, and restraint. The expected outcome distribution included small winners, small losers, and occasional larger trend trades. Large losses, however, were considered unacceptable because they damage compounding potential and erase statistical advantage.

Following the early drawdown, parameters were reinforced. Risk percentages were tightened, selectivity increased, and execution shifted toward patience rather than frequency. Emotional behaviors such as early entries, revenge trading, and position oversizing were explicitly constrained through predefined rules. The objective became maintaining a controlled, low-variance equity curve while allowing gains to accumulate through consistent, structured execution.

3 Trading Strategy Implementation

Execution followed a structured, checklist-driven process aligned with the core principles defined earlier: structure first, patience second, participation only when edge was present. Two primary trade models guided execution: EMA pullbacks and failed breakouts. The objective was not constant activity, but selective participation when higher-timeframe bias, EMA structure, and market reaction aligned.

The first step was identifying directional context. Higher time frames defined whether buyers or sellers were in control, while EMA slope and separation confirmed whether momentum supported continuation. When structure was unclear or price action became compressed without conviction, no trade was taken. Avoiding unnecessary exposure was treated as disciplined execution rather than hesitation.

3.1 EMA Pullback Continuation

The EMA pullback setup focused on continuation within an established trend. After an impulsive move, price was required to retrace toward the EMA without violating structural highs or lows. The retracement needed to show controlled counter-momentum rather than aggressive reversal behavior.

Entries were executed only once participation returned in the dominant direction and price reacted constructively near the average. This prevented chasing extended moves and allowed positioning closer to structural support or resistance.

Stops were placed beyond structural invalidation points, ensuring that if broken, the original trade thesis was objectively invalid. Targets were aligned with nearby liquidity zones or prior highs and lows, maintaining a minimum two-to-one reward relative to risk.



Figure 1: EMA Pullback Trend Continuation Execution. This example illustrates a short entry. Price action during the morning session established a clear downtrend, and rather than chasing momentum, the trade was executed on a pullback toward the EMA. Entering in the direction of the prevailing structure allowed alignment with market intent, improving entry efficiency and increasing the probability of reaching the predefined target.

3.2 Failed Breakout Setup

The failed breakout model targeted liquidity traps created when price temporarily broke a key structural level but failed to sustain acceptance beyond it. These events often trapped late participants who entered on breakout momentum, only to be forced out once price returned inside the prior range.

Execution required three elements:

- Clear rejection of the breakout level
- Strong re-entry into prior structure
- Visible momentum shift in the opposite direction

Only when all three conditions were present was participation justified.

Stops were positioned beyond the failed extreme, while targets were placed toward opposing liquidity pools within the range.



Figure 2: Failed Breakout Trap Execution. Position taken after a breakout attempt failed to sustain above resistance, signaling trapped buyers. Entry followed the rejection and re-entry into structure, with a protected stop placed beyond the failed high to control risk. As liquidity reversed, price rotated toward the predefined target, validating the trap-based setup.



Figure 3: Trade Execution Following the Failed Breakout. Position opened after confirmation of rejection and structural re-entry. Stop placement was defined beyond the failed high to protect against invalidation, while the target aligned with the next liquidity zone. The move developed as anticipated, validating checklist-based execution.

Most trades were executed around the New York morning session open, when liquidity increased

and directional intent became clearer. This timing improved reliability by allowing overnight positioning imbalances to resolve once full participation entered the market.

Risk placement strictly followed structural logic. Stops were never arbitrary distances but placed where the trade thesis objectively failed. If checklist conditions were not fully met, the trade was skipped regardless of potential movement.

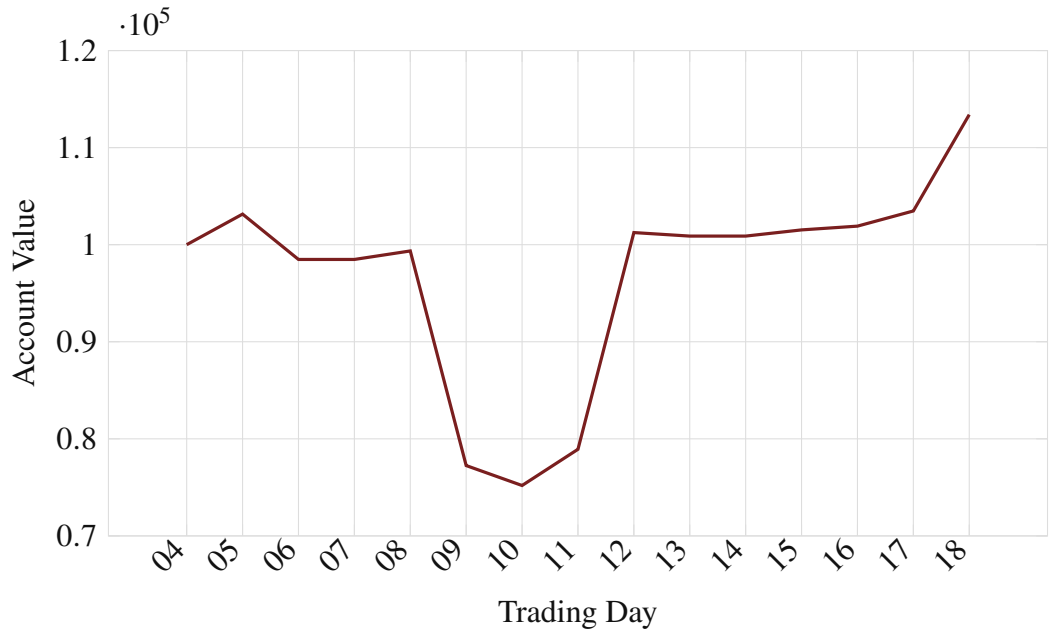
Consistency resulted from repeating the same reasoning framework across sessions, prioritizing disciplined execution over frequency of participation.

4 Wealth Development

The account began at 100,000 and ended at 113,396.63, which corresponds to a 13.40% return over a two week period. The path to that final result was not smooth. The equity curve shows a sharp mid-challenge drawdown followed by a recovery that finished at new highs.

The drawdown was not caused by one isolated technical mistake. It came from a phase where exposure and trade frequency were still too aggressive relative to the quality of structure available. In other words, the account was most vulnerable when execution was driven by short-term movement rather than by clear setups. Once execution became more selective and tied to structure, the equity curve stabilized and the recovery became possible.

Daily volatility over the challenge was about 10.10%, which is high but consistent with leveraged futures trading during volatile sessions. This also explains why the account moved quickly both against and in favor of the strategy. Because the challenge was short, results are reported for the observed period only, without annualization.



Daily Returns

Date	Return (%)
05-02	3.15
06-02	-4.53
07-02	0.00
08-02	0.89
09-02	-22.25
10-02	-2.66
11-02	4.96
12-02	28.29
13-02	-0.36
14-02	0.00
15-02	0.63
16-02	0.38
17-02	1.53
18-02	9.59

Performance Summary

Metric	Value
Initial capital	100,000
Final capital	113,396.63
Total return	13.40%
Maximum drawdown	-27.10%
Daily volatility	10.10%

5 Final Value Reflection

Performance improved not because the market became easier, but because execution became cleaner.

In the early phase of the challenge, participation exceeded the number of true edge conditions available. Trades were sometimes initiated during transitional structure or short-term volatility that lacked confirmation. The resulting drawdown was not the product of randomness; it was the cost of engaging when structure was incomplete.

As execution tightened, participation became conditional. Trades were taken only when directional bias, structural integrity, and momentum aligned. When those elements were absent, no position was opened. Trade frequency declined, but expectancy improved.

Over time, results began to reflect the intended distribution: many small losses, several moderate wins, and occasional larger expansions. This distribution is acceptable. Large losses are not. A single outsized loss disrupts compounding and undermines statistical advantage. Avoiding those events became the primary objective.

Proper trading is often uneventful. Most sessions should not produce trades. Edge positions are scarce by nature. Attempting to force opportunity during noisy conditions introduces emotional bias and negative expectancy. Resisting that impulse proved more valuable than identifying additional setups.

The central lesson was procedural: accept small losses, protect against large losses, and allow asymmetric gains to develop. Profitability emerged not from aggression, but from selectivity, structural discipline, and emotional stability.